

# FSB

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The Financial Stability Board (FSB) is an international body that monitors and makes recommendations about the global financial system.

## Mandate

The FSB promotes international financial stability; it does so by coordinating national financial authorities and international standard-setting bodies as they work toward developing strong regulatory, supervisory and other financial sector policies. It fosters a level playing field by encouraging coherent implementation of these policies across sectors and jurisdictions.

The FSB, working through its members, seeks to strengthen financial systems and increase the stability of international financial markets.

## History

The FSB was established in April 2009 as the successor to the Financial Stability Forum (FSF). At the Pittsburgh Summit, the Heads of State and Government of the G20 endorsed the FSB's original Charter of 25 September 2009 which set out the FSB's objectives and mandate, and organisational structure. The FSB has assumed a key role in promoting the reform of international financial regulation and supervision.

The FSB's predecessor institution the FSF was founded in 1999 by the G7 Finance Ministers and Central Bank Governors following recommendations by Hans Tietmeyer, President of the Deutsche Bundesbank. G7 Ministers and Governors had commissioned Dr Tietmeyer to recommend new structures for enhancing cooperation among the various national and international supervisory bodies and international financial institutions so as to promote stability in the international financial system. He called for the creation of a Financial Stability Forum.

## Organisational Structure and Governance

The FSB discharges its accountability, beyond its members, through publication of reports and, in particular, through periodical reporting of progress in its work to the Heads of State and Governments and the Finance Ministers and Central Bank Governors of the G20.

The FSB is established as a not-for-profit association under Swiss law and is hosted by the BIS under a five-year renewable service agreement. The organisation structure of the FSB consists of the Plenary, Steering Committee, Standing Committees, Working Groups, Regional Consultative Groups, Chair and the Secretariat.

The FSB's membership comprises authorities from jurisdictions that are responsible for maintaining financial stability, such as ministries of finance, central banks, supervisory and regulatory authorities; international financial institutions; and international standard-setting, regulatory, supervisory and central bank bodies.

## Funding

At present, the FSB receives the vast majority of its funding and services support from the BIS under the Agreement between the FSB and the BIS. The Agreement, signed on 28 January 2013, was for an initial term of five years and is subject to an automatic renewal for further successive five-year fixed terms unless either

party gives the other not less-than-one-year termination notice prior to expiry of the term. On 16 September 2021, the BIS Board agreed to extend the Agreement for another five-year period, from January 2023 to January 2028.

The majority of the financial support the BIS provides to the FSB comes in the form of contributions to cover staff compensation and other expenditures, such as travel and administrative expenses, which are directly attributable to FSB activities. This support, along with any other similar directly attributable services provided by other members, is recognised in the statement of activities as contributions from members and as operating expenses.

In addition, the FSB is hosted at the BIS premises and benefits from administration, accounting, human resources, meeting facilities, office space, equipment, information technology and other services. These are provided by the BIS free of charge and not included as an expense in the statement of activities.